Carrier Management Policy

DOC-003 | Version 2.1 | Effective 2026-01-01 | ACTIVE

1. Purpose and scope

Corporate policy for carrier onboarding governance, monitoring, noncompliance escalation and replacement. Active from 2026-01-01. This document does not supersede individual commercial contract clauses.

2. Performance monitoring

Carrier performance is monitored weekly. Mandatory indicator: OTIF, as defined in DOC-013. Additional controlled indicators include on-time delivery rate, damage rate, claim rate and critical-delivery response time. The KPI dictionary specifies definitions and calculation rules. Contract-specific service obligations must be evaluated alongside corporate performance targets.

3. Repeated SLA breach

Three consecutive weeks below the applicable contracted SLA trigger mandatory escalation. Week 1: record deviation and notify carrier owner. Week 2: request written root-cause analysis and recovery plan. Week 3: formally escalate to Transportation Management and Procurement; open corrective-action record, agree deadlines and assess contractual remedies. Escalation does not automatically terminate the contract. Material risk or persistent noncompliance is reviewed under the contract and supplier-risk policy DOC-004.

4. Carrier replacement procedure

Transportation Management documents repeated failure, delivery exposure and alternatives; Procurement checks active contract terms, notice periods and candidate eligibility; Risk/Compliance reviews high-risk classifications using DOC-004; approval is obtained under DOC-012 where applicable. A transition plan must cover service continuity, data transfer through approved channels, pilot monitoring and closure of outstanding incidents. Carrier selection is a human-authorized decision and must be supported by documented evidence.

5. Escalation evidence and authority

Record the affected carrier, dates, consecutive-week metrics, breached SLA, corrective actions, approvals and links to applicable contracts. Disagreements between this policy and active higher-authority policy must be resolved through DOC-007. Related sources: DOC-001, DOC-004, DOC-012, DOC-013, DOC-014, DOC-015 and DOC-016.